



Quiz 1

Opened: Saturday, 10 October 2026, 11:58 AM

Question 1

Correct

Mark 1.00 out of 1.00

Flag question

Facility layout refers to the arrangement of which of the following within an existing or proposed facility?

- ☐ a. Shareholders, managers and employees
- ☐ b. Suppliers, distributors and retailers
- ☐ c. Prices, discounts and promotions
- ☒ d. Activities, departments, workstations, storage areas, aisles and common areas



Your answer is correct.

The correct answer is: Activities, departments, workstations, storage areas, aisles and common areas

Question 2

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following focuses on preventing defects by controlling the process itself?

- ☐ a. Final inspection
- ☒ b. Quality assurance
- ☐ c. Quality control
- ☐ d. Six Sigma inspection



Your answer is correct.

The correct answer is:
Quality assurance

Question 3

Correct

Mark 1.00 out of 1.00

Flag question

Which of the four core business functions refers to activities directly associated with creating goods and services?

- ☐ a. Marketing
- ☐ b. Finance
- ☒ c. Production/Operations
- ☐ d. Human resources



Your answer is correct.

The correct answer is:
Production/Operations

Question 4

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following is NOT an objective of facility layout?

- ☒ a. Maximize in-process inventory
- ☐ b. Minimize material handling costs
- ☐ c. Avoid bottlenecks
- ☐ d. Design for safety



Question 5

Correct

Mark 1.00 out of 1.00

Flag question

The production function only applies to companies that manufacture physical goods, not to service organizations.

- ☐ True
- ☒ False ✓

The correct answer is 'False'.

Question 6

Correct

Mark 1.00 out of 1.00

Flag question

The goal of capacity planning is to minimize the gap between demand and capacity.

- ☒ True ✓
- ☐ False

The correct answer is 'True'.

Question 7

Correct

Mark 1.00 out of 1.00

Flag question

Facility location decisions are considered strategic mainly because:

- ☒ a. They influence the organization over the long run ✓
- ☐ b. They only affect the marketing department
- ☐ c. They carry no cost implications
- ☐ d. They are easy to reverse

Your answer is correct.

The correct answer is:
They influence the organization over the long run

Question 8

Correct

Mark 1.00 out of 1.00

Flag question

A product layout is suited to highly standardized goods or services

- ☒ True ✓
- ☐ False

The correct answer is 'True'.

Question 9

Correct

Mark 1.00 out of 1.00

Flag question

General-purpose equipment in a process layout is generally less costly than specialized equipment.

- ☒ True ✓
- ☐ False

The correct answer is 'True'.

Question 10

Correct

Mark 1.00 out of 1.00

Flag question

A hospital uses only a process layout throughout

- ☐ True
- ☒ False ✓

